Meera's Computer Store

What was promised?

₹32,400 for a laptop and one course.
Two promises, with numbers.



STEP 2



Srikanth Potharla

M.Com., M.Phil., FCMA., UGC-NET., Ph.D.

The deal in rupees



Laptop sold alone: ₹30,000
Course sold alone: ₹6,000
Bundle price: ₹32,400

₹3,600 discount

₹36,000 of separate selling prices, less a ₹3,600 bundle discount.

Ind AS 115 / IFRS 15, paragraphs 22–30

One laptop and one course



The course has four sessions.
Each session lasts one hour.
All provide the same teaching service.

4 hours of teaching

The course teaches general skills. It does not customise the laptop.

Ind AS 115 / IFRS 15, paragraphs 22–30

One ₹32,400 invoice



Meera issues one invoice
for the laptop and the course.

1 invoice, 2 promises

The number of invoices does not determine the number of obligations.

Ind AS 115 / IFRS 15, paragraphs 22–30

Test 1: the laptop has a separate benefit



Arjun can use the ₹30,000 laptop without attending Meera’s course.

Laptop: yes

Test 1 asks about benefit, rather than invoice format or price.

Ind AS 115 / IFRS 15, paragraphs 22–30

Test 1: the course has a separate benefit



The ₹6,000 course can be taken using another suitable laptop.

Course: yes

Four similar sessions form one series performance obligation here.

Ind AS 115 / IFRS 15, paragraphs 22–30

Test 2: the promises are separate



The course does not modify the laptop. Meera provides no significant integration of the two.

Test 2: yes

Meera promises a usable laptop and general teaching as separate outputs.

Ind AS 115 / IFRS 15, paragraphs 22–30

Step 2 identifies two obligations



Obligation 1: deliver the laptop.
Obligation 2: provide the course.

2 obligations

Now follow the ₹32,400 to see why separate tracking matters.

Ind AS 115 / IFRS 15, paragraphs 22–30

How ₹32,400 is shared

The 10% bundle discount is shared in the same proportions.

Promise	Standalone price	Share	Allocated amount
Laptop	₹30,000	5/6	₹27,000
Course	₹6,000	1/6	₹5,400
Total	₹36,000	100%	₹32,400

Laptop: ₹32,400 × 30,000 ÷ 36,000 = ₹27,000

Course: ₹32,400 × 6,000 ÷ 36,000 = ₹5,400

Ind AS 115 / IFRS 15, paragraphs 73–83

At laptop delivery, ₹5,400 is still unearned

Arjun pays upfront. No teaching has taken place yet.

Stage	Cash received	Revenue to date	Unearned balance
Before delivery	₹32,400	₹0	₹32,400
Laptop delivered	₹32,400	₹27,000	₹5,400

Cash received ₹32,400 = revenue ₹27,000 + liability ₹5,400

Recognising the whole receipt at delivery would overstate revenue by ₹5,400.

Ind AS 115 / IFRS 15, paragraphs 31–38 and 105–106

Each equal session earns ₹1,350

Course allocation ₹5,400 ÷ 4 equal sessions = ₹1,350 per session.

Sessions completed	Course revenue to date	Total revenue to date	Course liability
0	₹0	₹27,000	₹5,400
1	₹1,350	₹28,350	₹4,050
2	₹2,700	₹29,700	₹2,700
3	₹4,050	₹31,050	₹1,350
4	₹5,400	₹32,400	₹0

After session 4: ₹27,000 + ₹5,400 = ₹32,400. Nothing remains unearned.

Ind AS 115 / IFRS 15, paragraphs 23, 35(a), 39–40 and 105–106

Alternative: one integrated system



A different ₹32,400 contract promises one customised working system.

1 combined output

Different contract facts can change the number of obligations.

Ind AS 115 / IFRS 15, paragraphs 22–30

Significant integration creates one promise



The supplier integrates hardware and specialised software into one working system.

1 obligation

Allocate ₹32,400 to the combined promise. Control determines timing.

Ind AS 115 / IFRS 15, paragraphs 22–30

The two distinctness tests

STEP

2



BOTH TESTS

A distinct promise passes both tests.

1 Can the customer benefit separately?

2 Is the promise separately identifiable?

Capable of being distinct
AND distinct in the contract.

Separate invoice lines are not the test.

Ind AS 115 / IFRS 15, paragraphs 22–30

Meera’s numbers in one picture



Bundle: ₹32,400
Laptop allocation: ₹27,000
Course allocation: ₹5,400

₹1,350 per session

Step 2 separates the promises, so earned amounts can be tracked correctly.

Ind AS 115 / IFRS 15, paragraphs 22–30

Check yourself

Think first. Click to reveal each answer in Slide Show.

1 **One laptop plus four equal sessions: how many obligations?**

Two: the laptop and one series of teaching services.

2 **How much of ₹32,400 is allocated to the laptop?**

₹27,000 = ₹32,400 × ₹30,000 ÷ ₹36,000.

3 **How much course revenue does one equal session earn?**

₹1,350 = ₹5,400 ÷ 4 sessions.

4 **Why is ₹32,400 not all revenue at laptop delivery?**

₹5,400 relates to the course that is still to be provided.

Ind AS 115 / IFRS 15, paragraphs 22–30